

I have raised these as appropriate items for discussion. I would prefer not to make these cuts, but I think they are sufficiently in the zone of discretion that we would want to "stack" these up against other items under discussion. The travel reduction mainly reflects the amount budgeted for staff/Member of Congress travel, with nearly one-half of it representing a proposed trip to London. I think such trips have enormous value, but I also think we have flexibility as to whether they occur, if at all, in 2002 or '03 or later. Right now, I am for 2001, about \$400,000 under budget. About \$200,000 of that is travel savings. The amount I have set out for travel reduction in '02 is about the savings I achieved this year.

As for company memberships, \$475K has been approved. In my "ideal world" scenario, I requested \$423,800. The reductions I would make would leave me less than scenario two but more than my scenario three request for memberships. The reductions would be achieved by cutting \$100K for the Chamber, which we have agreed to drop. The other cuts would be \$60K for a Telecom Association, we no longer need. The remaining amount in membership would be achieved through a combination of miscellaneous memberships, \$55K of which would be CSI and AEI.

As for contributions, in scenario two I proposed \$640K. Right now \$720K has approved in the budget. I could reduce the \$720 to \$620 by adhering to the levels contained in scenario two; the additional \$20K would be spread out over all the accounts by reducing them \$2 to 5K.

Again, I would prefer to keep the money described herein. I do think as you look across the full range of government affairs, however, that you would want to have a full picture of potential (but within the zone of reasonableness) savings. I would not air them but for the extraordinary times in which we find ourselves. In sum, here is some food for thought. I will be 100% supportive of whatever you decide. Perhaps it is time to make some hard choices on personnel.

-----Original Message-----

From: Shapiro, Richard
Sent: Tuesday, October 16, 2001 6:30 PM
To: Robertson, Linda
Subject: FW: Cut proposals for Enron Washington

Could you detail as to why this is not cutting beyond the point of reasonableness?

-----Original Message-----

From: Linnell, Elizabeth
Sent: Tuesday, October 16, 2001 5:26 PM
To: Shapiro, Richard; Robertson, Linda
Subject: Cut proposals for Enron Washington

Rick - Linda and I had a "back of the envelope" discussion regarding the DC budget. The numbers were proposed as follows:\

\$200K in Travel (this includes \$175K budgeted for Staff trips to Houston, Portland and London)

\$275K in Company Memberships

\$100 in Contributions

\$575K Total proposed cuts

You'll probably want to discuss the implications of these. The cuts in Memberships and Contributions will bring these numbers below Scenario 2 proposal.

I will await direction from the two of you before making these changes in the worksheet.